

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 11 - COMPONENT UNITS, Continued

The University of South Carolina Business Partnership Foundation (the Foundation) was formed to bring together representatives of business and government to assist in conducting conferences, seminars, and management programs to further the education, development and effectiveness of management personnel in the State and region. The University receives funds for scholarships, reimbursement of personnel services, and other administrative costs from the Foundation. Complete financial statements for the Foundation can be obtained at University of South Carolina Business Partnership Foundation 1014 Green Street, Columbia, SC 29208, Attention: Jean Duke.

Various transactions occur between the University and the component units. A summary of those transactions follows:

Funds and Assets Received from Component Units

Development Foundation	\$ 17,244,791
Educational Foundation	46,823,902
Business Partnership Foundation	<u>5,696,245</u>
Total	<u>\$ 52,520,201</u>

Funds Paid to Component Units

Development Foundation	\$ 11,953,080
Educational Foundation	<u>227,689</u>
Total	<u>\$ 12,180,769</u>

NOTE 12 - RISK MANAGEMENT

The University has implemented a comprehensive Enterprise Risk Management (ERM) and Insurance program which incorporates the fundamentals of risk identification, risk assessment, risk treatment, risk monitoring and risk review. Currently, the Columbia campus has established an ERM process using the guidance of International Standards Organization (ISO) 3100-2018 "Risk Management - Guidelines". ISO provides principles, framework and process for managing any form of risk in a systematic, transparent and credible manner. The ERM and Insurance program is committed to: preventing adverse claim experience through training, education and inspection; advising and assisting University managers in identifying potential risks and losses; advising and assisting University managers in implementing controls to mitigate risks; and procuring appropriate insurance policies. The University mitigates the financial consequences of physical, human, and financial loss by purchasing insurance through the State Fiscal Accountability Authority Office of the Insurance Reserve Fund (IRF). As needed, the IRF policies are supplemented by the purchase of policies through the private insurance market. Several sections of the South Carolina Code of Laws authorize and require the State Fiscal Accountability Authority, through the IRF, to provide insurance to governmental entities. These statutes in turn require most state entities to purchase insurance through the IRF. These sections include:

Title 1 - Administration of Government, Section 1-11-140 - 141. Authority to provide tort liability insurance to governmental entities, their employees, and charitable medical facilities.

Title 1 - Administration of Government: Section 1-11-147. Automobile Liability Reinsurance.

Title 10 - Public Buildings and Property: Section 10-7-10 through 10-7-40. Authority to insure public buildings and contents.

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 12 - RISK MANAGEMENT, Continued

Title 10 - Public Buildings and Property: Section 10-7-12. Authority to purchase reinsurance.

Title 10 - Public Buildings and Property: Section 10-7-130. Authority to hold monies paid as premiums for the purpose of paying Insured losses.

Title 11 - Public Finance: Section 11-9-75. Debt Collection Procedures.

Title 15 - Civil Remedies and Procedures: Section 15-78-10 through 15-78-150. S.C. Governmental Tort Claims Act. Authority to provide liability insurance.

Title 38 - Insurance: Section 38-13-190. Requires South Carolina Insurance Department Audits of Insurance Reserve Fund Finance.

Title 59 - Education: Section 59-67-710 & 59-67-790. Authority to insure school buses and pupils transported by school bus.

Title 59 - Education: Section 59-67-790. Pupil Injury Fund.

The IRF functions as a governmental insurance operation with the mission to provide insurance specifically designed to meet the needs of governmental entities at the lowest possible cost. The IRF operates like an insurance company, by issuing policies, collecting premiums (based on actuarially calculated rates), and by paying claims from the accumulated premiums in accordance with the terms and conditions of the insurance policies it has issued.

All premiums received by the IRF are deposited with the Office of the State Treasurer where the funds are maintained as the IRF Trust Account. By statutory requirement, these funds are to be used to pay claims and operating expenses of the fund. The Office of the State Treasurer is responsible for investing these funds. The costs of settled claims have not exceeded the University's insurance coverage in any of the past three years.

The IRF uses no agents, brokers, or advertising, and does not actively solicit accounts. The lack of a profit motive and the lack of acquisition expenses such as agents' commissions, along with the use of the investment income in rate determination allow the IRF to maintain the lowest possible rate structure. Not all governmental entities elect to purchase their insurance through the IRF. The South Carolina Tort Claims Act allows political subdivisions of the State access to other mechanisms to meet their insurance needs at their discretion. Some entities participate in other self-insurance pools, some purchase commercial insurance, and some elect to self-insure their insurance exposures.

The various types of insurance policies maintained by the University include: Building and Personal Property, Inland Marine, Ocean Marine, Data Processing Equipment, Business Interruption, Builders' Risk, Automobile, Aircraft, Directors and Officers Liability, General Tort Liability, Cyber Liability, Medical Professional Liability, Employee Crime, and Workers' Compensation.

UNIVERSITY OF SOUTH CAROLINA
Notes to the Financial Statements

NOTE 13 - OPERATING EXPENSES BY FUNCTION

Operating expenses by functional classification are summarized as follows:

	Salaries and Wages	Fringe Benefits	Services and Supplies	Utilities	Scholarships and Fellowships	Depreciation and Amortization	Total
Instruction	\$ 353,228,901	\$ 136,904,520	\$ 71,005,843	\$ 52,257	\$ 1,812,076	\$ -	\$ 563,003,597
Research	90,186,128	33,279,311	61,539,654	211,968	1,241,200	-	186,458,261
Public service	40,443,087	15,278,176	37,748,448	73,056	839,728	-	94,382,495
Academic support	59,839,604	23,110,126	45,359,247	8,568	28,069	-	128,345,614
Student services	49,943,088	18,890,433	33,807,840	1,644,857	883,081	-	105,169,299
Institutional support	69,105,787	27,918,922	33,482,363	72,702	10,907	-	130,590,681
Operation and plant maintenance	35,783,218	15,543,729	51,691,976	25,584,754	3,945	-	128,607,622
Auxiliary enterprises	74,766,104	24,881,421	108,859,427	12,579,254	2,594,949	-	223,681,155
Scholarships and fellowships	88,443	2,051,205	8,484	-	41,392,300	-	43,540,432
Depreciation and amortization	-	-	-	-	-	118,543,827	118,543,827
Pension and OPEB expense ⁽¹⁾	-	(39,850,382)	-	-	-	-	(39,850,382)
Total operating expenses	\$ 773,384,360	\$ 258,007,461	\$ 443,503,282	\$ 40,227,416	\$ 48,806,255	\$ 118,543,827	\$ 1,682,472,601

NOTE 14 - ENDOWMENTS

The University's endowment funds consist of the following:

Net Position Classification	True Endowment	Quasi Endowment	Total
Restricted - nonexpendable	\$ 91,291,623	\$ -	\$ 91,291,623
Unrestricted	-	33,492,720	33,492,720
Total	\$ 91,291,623	\$ 33,492,720	\$ 124,784,343

Endowments held by Component Units

Business Partnership Foundation	\$ 75,788,779	\$ 65,566,168	\$ 141,354,947
Development Foundation	4,070,305	25,671,185	29,741,490
Education Foundation	527,198,144	11,888,340	539,086,484
Total Endowments held by Component Units	\$ 607,057,228	\$ 103,125,693	\$ 710,182,921

At June 30, 2024, \$13,435,898 of the amount reported as *net position, restricted expendable - scholarships, research, instruction and other*, represented cumulative net appreciation of donor-restricted endowments.

NOTE 15 – SUBSEQUENT EVENTS

In July 2024, the NCAA filed documents to settle various class-action lawsuits related to back damages and future benefits for Division I (DI) student-athletes. The settlement calls for total back damages of approximately \$2.78 billion to be paid over 10 years by the NCAA, the Power 5 conferences (of which the University is a member), and other DI conferences. In addition, going forward, the settlement allows the Power 5 conference member institutions (and other DI institutions that opt in the new structure) to provide increased benefits to student-athletes.

Currently, the settlement pending the approval of the courts, which could take several months. In addition, there are numerous other unresolved issues (state laws, employee designations, litigation by opposing parties, etc.) that could impact the timing and final results of the settlement. The impact to the University could be significant to the University's Athletic Department, however it is not estimable as of the date of this report.



Required Supplementary Information

to the Financial Statements

-This page intentionally left blank-

UNIVERSITY OF SOUTH CAROLINA
Schedule of the University's Proportionate Share of the Net Pension Liability
As of June 30

South Carolina Retirement System (SCRS)							
Fiscal year ended	Measurement period	University's Proportion of the Net Pension Liability	University's Proportionate Share of the Net Pension Liability	University's Covered Payroll During the Measurement Period	University's Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll	Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	
2024	2023	4.210491%	\$ 1,017,988,841	\$ 315,435,878	322.72%	58.60%	
2023	2022	4.177838%	1,012,797,979	300,548,411	336.98%	57.10%	
2022	2021	4.195422%	907,942,876	289,811,289	313.29%	60.70%	
2021	2020	4.271173%	1,091,360,231	290,807,945	375.29%	50.70%	
2020	2019	4.310566%	984,280,973	282,920,119	347.90%	54.40%	
2019	2018	4.290247%	961,307,644	282,488,211	340.30%	54.10%	
2018	2017	4.167883%	938,282,339	279,360,816	335.87%	53.30%	
2017	2016	4.057192%	866,637,424	266,242,277	325.51%	52.91%	
2016	2015	4.074340%	772,745,350	259,539,897	297.74%	56.99%	
2015	2014	4.086408%	703,562,633	254,916,138	276.00%	59.92%	
2014	2013	4.086408%	732,955,826	250,774,743	292.28%	56.39%	

Police Officers Retirement System (PORS)							
Fiscal year ended	Measurement period	University's Proportion of the Net Pension Liability	University's Proportionate Share of the Net Pension Liability	University's Covered Payroll During the Measurement Period	University's Proportionate Share of the Net Pension Liability as a Percentage of its Covered Payroll	Plan Fiduciary Net Position as a Percentage of the Total Pension Liability	
2024	2023	0.507275%	\$ 15,441,938	\$ 8,751,668	176.45%	67.80%	
2023	2022	0.520683%	15,615,187	8,119,977	192.31%	66.40%	
2022	2021	0.498057%	12,814,574	7,495,728	170.96%	70.40%	
2021	2020	0.560656%	18,592,551	8,427,441	220.62%	58.80%	
2020	2019	0.586371%	16,805,038	8,569,379	196.11%	62.70%	
2019	2018	0.565259%	16,016,847	7,928,895	202.01%	61.70%	
2018	2017	0.542530%	14,862,802	7,291,336	203.84%	60.90%	
2017	2016	0.516784%	13,108,096	6,589,396	198.93%	60.44%	
2016	2015	0.523020%	11,399,093	6,497,348	175.44%	64.57%	
2015	2014	0.527400%	10,102,838	6,360,804	158.83%	67.55%	
2014	2013	0.527400%	10,932,795	5,934,668	184.22%	62.98%	